guaranteed mortgages and mortgage-participation certificates, secured on such dwellings.[6]

Where investments of this kind are made, the lender should be certain: (*a*) that the amount of the loan is not over 66²/₃% of the value of the property, as shown either by actual recent cost or by the amount which an experienced real estate man would consider a fair price *to pay* for the property; and (*b*) that this cost or fair price does not reflect recent speculative inflation and does not greatly exceed the price levels existing for a long period previously. If so, a proper reduction must be made in the maximum relation of the amount of mortgage debt to the current value.

The more usual real estate mortgage *bond* represents a participation in a first mortgage on a new apartment house or office building. In considering such offerings the investor should ignore the conventional "appraised values" submitted and demand that the actual cost, fairly presented, should exceed the amount of the bond issue by at least 50%. Secondly, he should require an estimated income account, conservatively calculated to reflect losses through vacancies and the decline in the rental scale as the building grows older. This income account should forecast a margin of at least 100% over interest charges, after deducting from earnings a depreciation allowance to be actually expended as a sinking fund for the gradual retirement of the bond issue. The borrower should agree to supply the bondholders with regular operating and financial statements.

Issues termed "first-*leasehold* mortgage bonds" are in actuality second mortgages. They are issued against buildings erected on leased land and the ground rent operates in effect as a first lien or prior charge against the entire property. In analyzing such issues the ground rent should be added to the bond-interest requirements to arrive at the total interest charges of the property. Furthermore, it should be recognized that in the field of real estate obligations the advantage of a first mortgage over a junior lien is much more clean-cut than in an ordinary business enterprise.[7]

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[6] Since 1933 real estate financing on single-family homes has been taken over so substantially by the Federal government, through the Federal Housing Administration (F.H.A.), that practically no real estate bonds of this type have been sold to investors. Financing on larger buildings has been greatly restricted. Practically all of it has been provided by financial institutions (insurance companies, etc.), and there have been virtually no sales of real estate securities to the general public (to the end of 1939).

[7] See Appendix Note 21 for examples and comment.